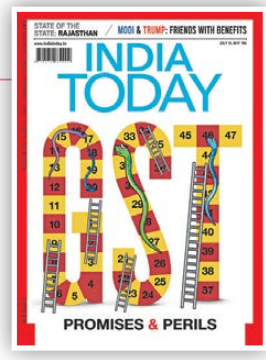


FROM THE ARCHIVES
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Cover story
GST Promises & Perils



Jaitley's optimism comes in the midst of concerns that GST is still not optimal, in the sense that the layers are still too many. Taxes will henceforth range from 0 to 28 per cent plus cesses. But the finance minister lays down his reasons.... "Not having multiple slabs would be highly inflationary and discriminatory," he says. "Would you charge a *hawai chappal* and a BMW car at the same rate? It will be inequitable."

–Shweta Punj and M.G. Arun

ister Yashwant Sinha, in July 2000, announced the formation of two task forces led by his advisor, economist Vijay Kelkar. Among their recommendations, the proposal for a unified Goods and Services Tax (GST) emerged as a game-changer, aiming to replace the fragmented and cumbersome tax regime. The focus was on reducing cascading taxes, simplifying compliance and fostering economic integration.

Fast forward to July 2017, India finally implemented the GST, unifying 17 central and state taxes. It introduced three major changes: taxation moved to the point of consumption, replacing the earlier system of levies at factory gates; the cascading effect of taxes was minimised through input tax credits; a single GST return replaced the need for multiple tax filings.

Though transformative, this 17-year-long journey was fraught with challenges. State finance ministers debated the intricacies for years, grappling with concerns about revenue loss and the impact on manufacturing hubs like Gujarat, Tamil Nadu and Maharashtra. Before GST, states competed for investments by offering tax exemptions, often at the cost of creating inefficiencies. The new system removed such dispari-